The Political Economy of Stagnation

Origins of the Salaried Class and the Inhibition of Economic Development in Assam

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Roadmap

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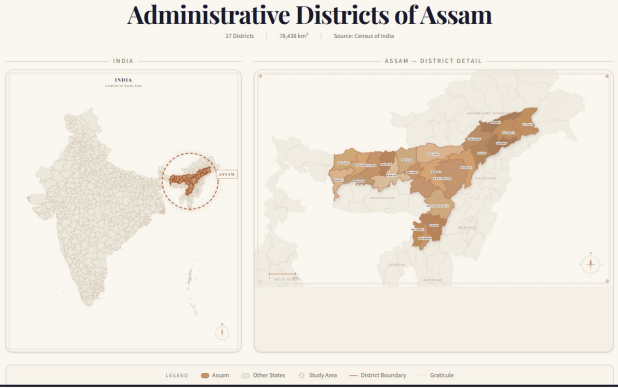
Where is Assam?


Administrative Districts of Assam
27 Districts | 78,438 km² | Source: Census of India
INDIA
INDIA
Location of Study Area
ASSAM
ASSAM — DISTRICT DETAIL
ARUNACHAL PRADESH
NAGAALAND
MANIPUR
MEGHALAYA
MIZORAM
TRIPURA
BANGLADESH
BHUTAN
Kokrajhar
Bongaigaon
Dhubri
Goalpara
Barpeta
Nalbari
Kamrup
Baksa
Chirang
Kamrup (M)
Kamrup (R)
Nagaon
Morigaon
Sonitpur
Darrang
Udalguri
Tezpur
Lakhimpur
Dibrugarh
Tinsukia
Sivasagar
Jorhat
Golaghat
Karbi Anglong
Dima Hasao
Cachar
Hailakandi
Karimganj
Bajali
Tamulpur
Biswanath
Majuli
Charaideo
Hojai
Sonapur

Introduction: The Assam Paradox

The Historical Reversal

- **Post-Independence Era:** Assam boasted a per capita income higher than the national average, driven by primary resources and a strong tea export industry.
- **The Decline:** By 1986, per capita income slipped below the national average.
- **Current State:** The deficit widened to 45% by the 1990s.

Structural Stagnation

Despite recent GSDP growth, Assam suffers from persistently low capital formation, sluggish industrialization, and a hypertrophied service sector unable to generate broad-based employment.

The Political Economy Thesis

Economic underdevelopment here is rarely an accident of geography alone; it is frequently the endogenous result of institutional arrangements and the distribution of political power among competing socio-economic classes.

The Path to Stagnation: A Historical Timeline

1228–1826	19th Century	20th Century	Present Day
Ahom Rule: Paik System (Corvée Labor)	Colonial Rupture: Monetization & Bengali Influx	Rent Protection: Ethno-nationalism & Conflict	Fiscal Crisis: High Committed Expenditure

Evolution of the Salaried/Bureaucratic "Proprietary" Class

The Core Argument

Assam's economic trajectory was shaped by a historical path dependency that created an indigenous elite culturally averse to entrepreneurial risk , yet structurally incentivized to capture state resources through public sector employment.

Precolonial Foundations

The Ahom Paik System (1228-1826)

- **Corvée Economy:** Non-monetized labor utilization mechanism. Every adult male (*paik*) was obligated to render state service for cultivable land.
- **Egalitarian but Rigid:** No massive class of landless agricultural laborers existed (average peasant held 2.66 acres). The Neo-Vaishnavite movement thwarted rigid caste hierarchies.
- **Absence of a Salariat:** A salaried, Weberian middle class was virtually non-existent.

Historical Baseline

The old regime left behind a society deeply accustomed to state patronage (via land), but entirely unaccustomed to capital accumulation, commercial trade, or monetized administration.

Paik Population Estimates (c. 1711)

Paiks (millions)	Male Population (millions)	Total Population (millions)
0.26	0.52	2.08
0.36	0.72	2.88
0.40	0.80	3.20

The Militia State

King Rudra Singha's militia register revealed that 260,000–400,000 paiks could be mobilized for warfare, representing a massive state apparatus built on corvée labor.

Overwhelmingly Rural

The capital city Rangpur had only 10,000 inhabitants in 1794. Urban population was estimated at less than 2% of the total—merchants and capitalists were virtually absent.

Pre-Colonial Trade: Bengal-Ahom Exchange

Exports from Bengal			Imports from Assam		
Good	**Quantity**	**Value**	**Good**	**Quantity**	**Value**
Salt	35	192.5	Stick-lac	10	35.0
Ghi	1	1.6	Raw Cotton	7	35.0
Fine pulses	—	0.8	Muga Silk	0.1	28.9
Sugar, Spices	—	2.0	Mustard	15	20.0
Copper	—	4.8	Ivory	—	6.5
Red bead, paints	—	1.5	Bell-metal vessels	—	2.1
Stone beads	—	8.0	Black Pepper	0.1	0.8
European glassware	—	2.5	Indian madder	—	0.5
Muslin	—	10.0	Thaikal	—	0.1
Other luxury	—	4.5	Slaves	—	2.0
Subtotal		**228.2**	**Subtotal**		**130.9**
Cowries	0.1	—	Gold & Silver	—	**97.4**
Total		**228.3**	**Total**		**228.3**

Source: Hamilton (1940), Anglo-Assamese Relations. Values in thousands of rupees.

The Trade Deficit Problem

Assam ran a persistent trade deficit of 97,400 rupees, paid exclusively in gold and silver bullion. Unlike Gujarat (which had Rs. 16 million in trade via Surat), Assam had minimal global trade presence and virtually no merchant class to develop indigenous capitalism.

Colonial Rupture

Monetization and Linguistic Displacement

The Administrative Shock

4pt0.8pt] British imposed a monetized economy and rational-legal bureaucracy.

4pt0.8pt] Assamese population was entirely lacking in modern Western education.

4pt0.8pt] Colonial state imported English-educated Bengali professionals for efficiency.

The Assamese Response

- Indigenous elites were profoundly marginalized (Bengali imposed as court language in 1836).
- Elites rapidly adapted by embracing Western education to secure salaried state positions.

A State-Dependent Class

Unlike European bourgeoisies or mercantile capitalists in western India, the Assamese middle class did not rise through mercantile trade or industrial innovation. Their prestige and security were directly tied to colonial state proximity and government salaries.

The Outsourcing of Capital

Cultural Aversion to Enterprise

The periodical *Awahan* recorded that educated Assamese youth viewed trade and petty commerce with deep disdain, considering entrepreneurial labor to be a **"matter of big shame"**.

Instead of building businesses, youths wasted creative energies writing petitions to British officers begging for government posts.

- **The Economic Vacuum:** This cultural stigmatization completely prevented the Assamese from evolving into an independent capitalist class.
- **Foreign & Immigrant Capital:** Millions of outsiders migrated to Assam to capitalize on this commercial void. Immigrant communities, notably the Marwaris, dominated trade, credit, and finance.
- **Wealth Drain:** This led to the systematic draining of local wealth and thoroughly stunted the growth of an indigenous entrepreneurial ecosystem.

Theoretical Framework I

Bishnupriya Gupta: Educational Bias & Service-Led Growth

The Historical Roots of Services

- Challenges the assumption that service-led growth was triggered by 1990s economic liberalization; it possesses deep historical roots.
- **Productivity Divergence:** Between 1870 and 1970, Indian agriculture plummeted, but comparative labor productivity in the service sector consistently rose from 15% to 30% of the UK level.

The Colonial Education Matrix

- The colonial state underinvested in mass primary education, which is the foundational prerequisite for an industrial or agricultural transition.
- Instead, education was heavily biased toward secondary and tertiary levels, catering exclusively to elites desiring rent-yielding administrative positions.

The Assamese Manifestation

Educational Credentials for Rent Extraction

Province/Region	Literate in English (Per 10,000 Males)
Assam	**87**
Bombay	60
Mysore	51
Madras	44
Bengal	35
Central Provinces	18

Note: Reference data illustrating comparative literacy outcomes.

The Educational Paradox in Assam

Assam produced a highly educated elite whose skill sets were exclusively tailored for the tertiary service sector. Because they culturally eschewed commerce, their human capital was never deployed to create manufacturing firms or logistics networks. Instead, education was deployed strictly as a credential to extract salaries from the state.

Theoretical Framework II

Pranab Bardhan: Dominant Proprietary Classes (1984)

The Rent-Seeking Coalition

Bardhan argues Indian state policy is dictated by a frequently conflicting coalition of three "dominant proprietary classes":

- Industrial Capitalists
- Rich Farmers
- **Public Sector Professionals**

Educational credentials and permanent government positions function precisely as a form of property that yields continuous economic rents.

The Collective Action Problem

This elite coalition exerts immense pressure on the state to distribute patronage and allocate subsidies.

Result: The state becomes paralyzed. It cannot pursue long-term, capital-accumulating macroeconomic policies because its fiscal resources are constantly drained to satisfy immediate rent-seeking demands.

The Monopoly of the Salariat

Applying Bardhan to Assam

The Missing Classes

- **No Capitalists:** The Assamese failed to develop an industrial class. Commerce was left to immigrants who possessed wealth but lacked indigenous political legitimacy to dictate state policy openly.
- **No Powerful Landlords:** The British Ryotwari system prevented the emergence of a politically powerful class of landed gentry or absentee landlords.

Unrivaled Hegemony

With both capitalists and rich farmers absent, the third leg of Bardhan's triad—the professional salaried class—achieved an unrivaled, monopolistic hegemony over Assam's political economy.

State Capture: Without capitalists demanding infrastructure, the state was transformed into a vast, ineffici

Ethno-Nationalism as Rent Protection

Vulnerability of the Salariat

The Assamese salariat had no private industrial base or mercantile networks. Any perceived demographic threat to their monopoly over government jobs was viewed as a literal existential crisis.

- **Identity Politics:** The salariat mobilized sub-nationalist movements (language agitations, the Assam Movement) to carve out protected administrative territories guaranteeing preferential treatment in public employment.

Behavioral Economics of Conflict

- Exposure to extreme violence fundamentally alters attitudes toward risk-taking and reduces cooperative behavior.
- Strikes and systemic extortion drive away private investment.
- Without private sector growth, youth are forced to double down on demands for government jobs.

Conclusion

1. **Path Dependency:** Assam's pre-colonial Paik system created a cultural affinity for state patronage rather than entrepreneurship.
2. **Class Hegemony:** Without capitalists or powerful landlords, the professional salariat achieved monopolistic control over the state apparatus.
3. **Fiscal Capture:** Nearly 60% of state revenue is consumed by salaries and pensions, starving productive capital investment.

Thank You

Questions & Discussion

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Comments and suggestions are welcome.